



PSE's SBL and Short Selling Programs

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Presentation Outline

1 Securities Borrowing and Lending

2 Short Selling

SBL and Short Selling Regulatory Milestones

16 NOV 2006	PSE Rules on SBL were approved by the SEC
05 FEB 2007	PSE issued Guidelines on SBL
15 FEB 2007	PSE Rules on SBL and SBL Guidelines took effect
08 JUN 2010	Revised PSE Trading Rules were published, including provisions on Short Selling
05 JUN 2018	PSE received SEC approval on the Short Selling Guidelines
22 JUN 2018	Short Selling Guidelines were published on the PSE website
24 MAY 2023	PSE announced the acceptance of offshore collateral in SBL by the SEC
21 JUL 2023	PDTC received conditional approval to operate as lending agent from the SEC
25 SEP 2023	PSE received confirmation from BIR of the registrability of a GMSLA

Securities Borrowing and Lending

What is Securities Borrowing and Lending or SBL?

- ❖ Securities Borrowing and Lending (SBL) is the borrowing of stocks/securities from a lender's **portfolio of assets** to a borrower who needs the stocks/securities **to meet settlement obligations** or **to support trading strategies** such as short selling.
- ❖ SBL is similar to a simple cash loan except that what is borrowed are stocks/securities and what is given as collateral is either cash, equities or government securities.



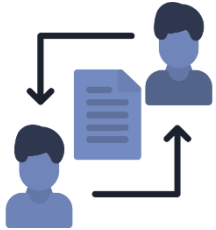
SBL Market Fundamentals



a temporary loan of securities by a lender to a borrower



borrower provides collateral and pays a borrowing fee to the lender



securities title is transferred from lender to borrower



lender retains full economic benefits of securities on loan



borrower can return the shares any time during the borrowing period



lender can recall the shares any time during the borrowing period

SBL Documentation

Securities Lending Authorization Agreement (SLAA)

Outlines relationship by and between the owner of the securities and agent lender:

- Responsibilities of the Agent
- Types of collateral acceptable to the owner
 - Cash
 - Non-cash
- Cash collateral investment policies

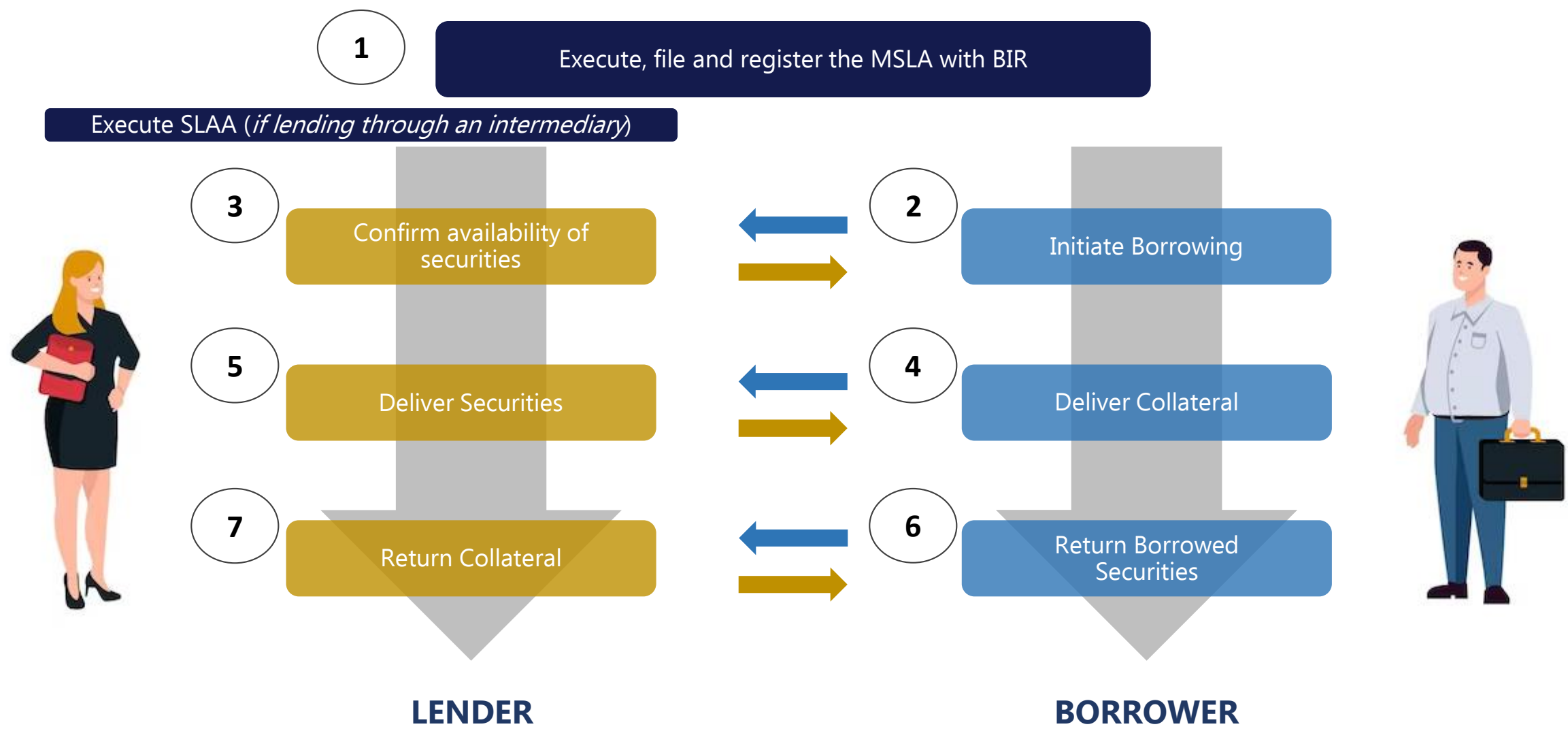
Master Securities Lending Agreement (MSLA)

Outlines relationship and responsibilities of lender and borrower

- Collateral
 - Types of collateral, margins, mark-to-market, reinvestment
- Calculation methods, fees
- Distribution
 - Corporate actions, voting rights, dividends
- Recall/return clause
- Representation and warranties
 - Capacity and authority of the parties concerned
- Termination of contract

**All borrowing and lending transactions are negotiated and covered by an agreement*

SBL Transaction Flow



How can retail investors participate?

✓ Investors can **lend and borrow shares** through their stockbroker which may perform as their intermediary and execute an MSLA with a Lending Agent.



Summary of Documentary Requirements

Agreement	Parties to the Agreement				
	Client Lender	Broker Agent Facilitator	Lending Agent	Broker Borrower	Client Borrower
Securities Lending Authorization Agreement (SLAA)	✓	✓	✓		
Master Securities Lending Agreement (MSLA)			✓	✓	
Service Agreement				✓	✓

Securities Lending: Market Participants

Lender		Borrower	
agency lending		MSLA	prime brokerage
Beneficial Owners	Lender Intermediary	Borrower Intermediary	End User
pension funds	lending agent	prime broker	hedge funds
insurance companies	custodians	other securities firms	proprietary traders
mutual/retail funds	asset managers	collateral managers	mutual funds
Government	third party lenders		
sovereign entities			
central banks			

Examples of firms:

Citibank – custody and prime brokerage
JP Morgan – prime broker and lending agent
eSecLending – agent lender

Morgan Stanley – prime broker
Statestreet – global custodian
JP Morgan, BNY Mellon, Euroclear, Clearstream – collateral managers

Benefits of Securities Lending

- ✓ **Securities lending promotes market efficiency and liquidity**
 - Allows price discovery and the arbitrage of pricing inefficiencies
 - Used for fail coverage to ensure smooth settlement cycles
 - Important part of risk management
- ✓ **Integral component of developed securities markets for domestic and international investors**
 - Increases liquidity
 - Facilitates investment and supports trading strategies
 - Improves settlement efficiency
- ✓ **Helps the development of the Capital Markets**

Capital markets grow from increased foreign participation and benefit from additional hedging tools
- ✓ **Facilitates investment and price stability**

Stock borrowing allows fund managers to utilize long/short strategies to achieve absolute return benchmarks
Fund managers who use market neutral strategies are typically “net long”

Risks of Securities Lending

Credit Risk

Borrower default on contractual obligations

Collateral Risk

Collateral liquidity

Reinvestment Risk

Investment default
Liquidity/duration mismatch

**Securities Lending
is a low risk activity
but risk must be
managed**



**Know your borrowers.
Know your customers.
Know your market.**

Counterparty Risk

Failure to deliver securities

Operational Risks

Corporate Actions
Failed Settlements

Legal/Contractual

Compliance with
program guidelines

Managing Risks

Risk Management Considerations

Risks	Controls
Counterparty Risks: Borrower default; failing to deliver securities	▪ Credit limits and credit monitoring ▪ Daily marking-to-market ▪ Diversification
Reinvestment Risks: Investment default; liquidity or duration mismatch	▪ Reinvestment guidelines ▪ Marking-to-market ▪ Quality analysis ▪ Diversification collaterals
Operational Risks: Corporate actions; failed settlements	▪ Best practice procedures and guidelines ▪ Appropriate systems ▪ Corporate action monitoring ▪ Backup systems ▪ Routine reporting
Legal/Contractual Risks: Compliance with program guidelines	▪ Standard documentation ▪ Audit compliance reporting and oversight ▪ Events of Default clearly identified

Other provisions to note

- **Borrowing Period**

Should not exceed 2 years from the date of execution of the SBL Confirmation Notice. (BIR)

- **Collateral**

Cash, government securities, listed equity securities, or standby letter of credit issued by a bank, or a combination thereof, or other forms of collateral that may be allowed by the SEC. (BIR/SEC)

The eligible collateral securities must be in electronic form at the time of SBL transaction and free from all liens and encumbrances. (SEC)

- **Value of collateral**

Maintained at not less than 102% of current market value of securities borrowed for cash or GS; not less than 105% if in the form of equity securities. (SEC)

- **Taxes**

SBL shares are not subject to the stock transaction tax, capital gains tax, and documentary stamp tax provided that a valid MSLA is executed by the parties and registered and approved by the BIR. (BIR)

Short Selling

What is Short Selling?

SHORT SELLING is any sale of a security that the seller does not own or any sale of a security that will be settled by the delivery of borrowed securities.



Short selling can be used:

- ✓ As a **trading strategy** employed to benefit from an expected future decline in price
- ✓ To **hedge the risk of a long position** in a related security

What is Short Selling?

It is a reverse transaction:

SELL first (the borrowed stocks)
then **BUY later** (to return stocks borrowed)

REGULAR TRANSACTION

BUY → SELL

SHORT SELLING TRANSACTION

BORROW → SELL → BUY → RETURN

What is Short Selling?



Investor expects price of stock XYZ to decline

Borrows 10,000 XYZ shares to sell at current price of Php10.00

After three weeks, price of XYZ drops to Php6.00, investor buys back 10,000 shares

Investor makes a profit of Php4.00 per share or Php40,000 for 10,000 shares

Investor closes his short position, returns borrowed shares to the Lender

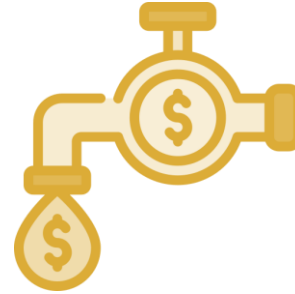
Benefits of Short Selling



Allows investors to communicate their view on the price of an asset



Lowers overpriced securities by encouraging better price discovery



Generates liquidity and fosters market efficiency



Risk management for hedging long positions and managing portfolio risk

Risks of Short Selling



Appreciation Trend

The stock market tends to rise over the long term, making short selling unfavorable in the long run



Unlimited Losses

The price of a shorted stock can keep rising, exposing the short-seller to potentially infinite losses

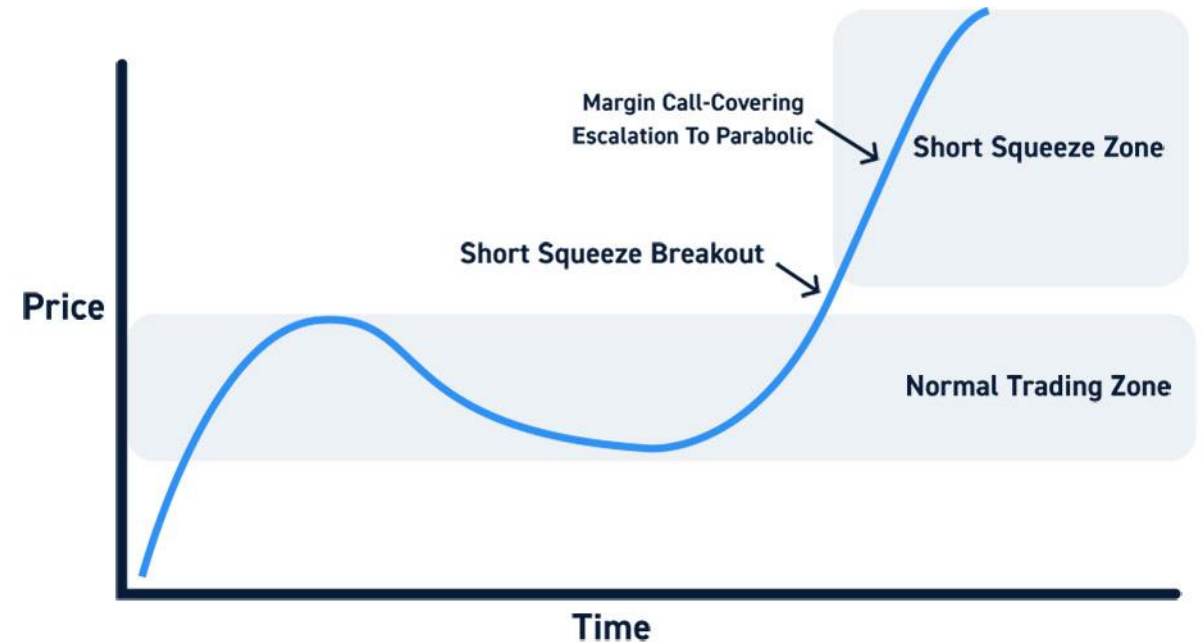


Margin Dangers

Short selling requires borrowing stocks and using margin, which can incur fees, interest, and margin calls

Short Squeeze

A sudden and sharp increase in the price of a shorted stock can force short sellers to buy shares to cover their position, driving the price even higher



Salient Features of Short Selling

Approved by the SEC on 05 JUN 2018

Salient Features

- All PSEi member companies and exchange traded funds are deemed Eligible Securities
- An Eligible Security must maintain a short interest of less than or equal to ten percent (10%) of outstanding shares
- TPs shall determine that the client has entered into the necessary borrowing arrangements prior to entering a short selling order. Naked short selling is not allowed.
- Short selling orders should be flagged accordingly
- The Exchange shall publish an end-of-day report on short selling transactions and outstanding short position
- Short selling transactions are subject to the uptick rule of the Revised Trading Rules of the Exchange
- Securities borrowing and lending procedures for short selling transactions

Recent Developments in Short Selling



Salient Features

- ✓ PSE announced on October 2, 2023 the inclusion of MidCap, and DivY constituent companies in the list of eligible securities for short selling

Regulatory Approvals

- ✓ **May 24, 2023:** Acceptance of Offshore Collateral (SEC)
- ✓ **July 21, 2023:** Approval of PDTC as a Lending Agent (SEC)
- ✓ **September 6, 2023** - Acceptance of GMSLA (BIR)

Market Preparation

PSE SBL and Short-Selling Webinar Series for Market Participants

Sept 6: Navigating the Basics of Securities Borrowing and Lending: Insights for Market Participants
225 attendees

Sept 7: SBL and Short Selling Rules and Regulations
246 attendees

Sept 8: Facilitating SBL Transactions for Short Selling through PDTC: Initial Briefing and Walkthrough for Depository Participants
225 attendees

Oct 6: PSE SBL and Short-Selling Webinar for Retail Investors

THANK YOU.



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